

Retail Markup & Pricing Formula

Cost of goods, margin calculation, markup formulas, and pricing strategy for med spa retail

THE CORE PRICING FORMULA

Term	Formula	Example
Cost of Goods (COGS)	What you paid for the product (wholesale)	EltaMD SPF 46 = \$14.50 wholesale
Markup %	$(\text{Retail Price} - \text{COGS}) \div \text{COGS} \times 100$	$(\$36 - \$14.50) \div \$14.50 \times 100 = 148\%$ markup
Margin %	$(\text{Retail Price} - \text{COGS}) \div \text{Retail Price} \times 100$	$(\$36 - \$14.50) \div \$36 \times 100 = 60\%$ margin
Retail Price from Markup	$\text{COGS} \times (1 + \text{Markup \%})$	$\$14.50 \times 2.0 = \29 (100% markup = 2x COGS)
Retail Price from Margin	$\text{COGS} \div (1 - \text{Margin \%})$	$\$14.50 \div (1 - 0.60) = \36.25 (60% margin)

INDUSTRY STANDARD MARKUPS BY CATEGORY

Product Category	Standard Markup	Standard Margin	Notes
Medical-grade skincare (ZO, SkinMedica, Alastin)	100–150%	50–60%	2–2.5x cost. Higher markup justified by clinical credentials and exclusivity
SPF / sunscreen	100–150%	50–60%	High velocity product – consistent seller. EltaMD, SkinMedica SPF
Retail supplements / vitamins	100–200%	50–67%	Low COGS – excellent margin. Nutraceuticals, collagen, peptide supplements
Skincare devices (home devices)	50–100%	33–50%	Lower markup due to higher COGS – still strong margin dollars
Lash / brow retail products	100–200%	50–67%	Aftercare serums, lash conditioners – high margin, high perceived value
Retail gift cards	100% (no COGS)	100% gross (net ~90–95%)	Gift cards = pure margin. 10–15% never redeemed (breakage) = bonus revenue

SERVICE PRICING FORMULA – KNOW YOUR NUMBERS

Step 1 – COGS	Product cost for that service (Botox units used × cost per unit, filler cost, consumables)
Step 2 – Labor cost	Provider hourly rate × time for service. Example: \$75/hr provider, 30-min service = \$37.50 labor cost
Step 3 – Overhead allocation	Monthly overhead ÷ monthly appointment slots × % allocated to this service. Usually 20–35% of service price
Step 4 – Target margin	Set your target: 40–60% net margin on services after COGS, labor, and overhead
Step 5 – Minimum price	COGS + Labor + Overhead = break-even. Add target margin on top = minimum viable service price
Market check	What are 3 comparable providers in your market charging? Price within 10–20% of market – above if you're positioned as premium

COMMON PRICING MISTAKES TO AVOID

- ❌ Pricing by "what feels right" without knowing your COGS – you may be losing money on services you think are profitable
- ❌ Discounting services to attract new patients – attracts deal-seekers, not loyal patients. Offer value instead
- ❌ Undercharging because you're "new" – patients associate low prices with low quality. Price what the service is worth
- ❌ Not updating prices annually – inflation increases your COGS every year. Review and adjust pricing every January
- ★ Rule of thumb: if you're always booked and never getting price pushback, you are UNDERPRICED. Premium practices stay consistently booked at premium prices.

MEMBERSHIP PRICING FORMULA

Step 1	Identify your most popular monthly services (e.g., Botox maintenance, facial, skincare consult)
Step 2	Calculate the retail value of what's included in the membership monthly
Step 3	Price the membership at 15–25% below retail value of included services – the discount is the incentive to commit
Step 4	Verify your margin: membership price ÷ your COGS for included services must still be profitable (target 40%+ margin)
Step 5	Add a non-refundable enrollment fee or require annual commitment to protect against churn
Example	Botox 20 units monthly (\$280 retail) + monthly facial (\$120 retail) = \$400 retail value → membership \$320/month (20% savings). Your COGS must be well under \$320.